

SUNNY SIDE UP
The solar-powered village of Modhera in Gujarat

RENEWABLE ENERGY/ GUJARAT

THE GREEN MAKEOVER

By Jumana Shah

The Gujarat government has its eyes set on the future of energy, it seems. Of its current installed renewable energy (RE) capacity of 21.6 GW, half has been developed only in the past four years. Now, the state hopes to encourage investment in the renewables sector through a comprehensive policy that covers a range of areas. On October 4, the Gujarat government rolled out its Renewable Energy Policy, 2023-2028, which lays down—in sync with the national target—2030 as the deadline for meeting 50 per cent of the state's energy needs through RE sources. The state hopes to attract investment worth Rs 5 lakh crore in the sector and harness 36 GW of solar capacity and 143 GW of wind capacity through the new rules, which will cover all ground-mounted solar, roof-top solar, floating solar, canal top solar, wind, rooftop wind and wind-hybrid projects.

The key focus here is to decentralise the generation of RE by encouraging industry participation. And the policy does that through several changes to existing rules. One, it does away with capacity restrictions for RE projects, so that firms are now allowed to fulfil 100 per cent of their energy needs through their own RE plants, as opposed to the 50 per cent ceiling earlier, wherein they had to rely on discoms for their remaining energy needs. The removal of this cap encourages industries to expand their captive power capacity (power-generation facilities managed and used by a firm for its own needs). At the same time, companies can now buy renewable power from Rescos (Renewable Energy Service Companies) as a group, which saves on cross-subsidy surcharge and additional surcharge associated with third-party sale of power. This is hugely beneficial for them.

"The power tariffs in Gujarat are higher than in Rajasthan and Maharashtra. Some industries were contemplating moving out. The state could have cut power costs, or allowed industries to generate their own power. This policy gives them good reason to reconsider," says Kunj Shah, chairman of the Renewable Energy Committee at Assocham. The policy also promotes setting up Renewable Energy Parks that will provide proper infrastructure and a focused zone for various projects.

Another significant step is the increase in the energy banking time for solar energy from 11 hours (7 am to 6 pm) to a full billing cycle, typically a month. Under energy

AN AMBITIOUS POLICY

- **The key aim of Gujarat's renewable energy policy is to promote industry participation**
- **Through the new framework, the state government aims to harness 36 GW of solar capacity and 143 GW of wind capacity, and attract investment worth Rs 5 lakh crore**
- **It also hopes to fulfil 50 per cent of its energy needs via renewables by 2030**